

planes into downtown Manhattan.

It was a few years after the beginning of the Lebanese war, as I was attending the Wharton School, at the age of twenty-two, that I was hit with the idea of efficient markets—an idea that holds that there is no way to derive profits from traded securities since these instruments have automatically incorporated all the available information. Public information can therefore be useless, particularly to a businessman, since prices can already “include” all such information, and news shared with millions gives you no real advantage. Odds are that one or more of the hundreds of millions of other readers of such information will already have bought the security, thus pushing up the price. I then completely gave up reading newspapers and watching television, which freed up a considerable amount of time (say one hour or more a day, enough time to read more than a hundred additional books per year, which, after a couple of decades, starts mounting). But this argument was not quite the entire reason for my dictum in this book to avoid the newspapers, as we will see further benefits in avoiding the toxicity of information. It was initially a great excuse to avoid keeping up with the minutiae of business, a perfect alibi since I found nothing interesting about the details of the business world—inlegant, dull, pompous, greedy, unintellectual, selfish, and boring.

Where Is the Show?

Why someone with plans to become a “philosopher” or a “scientific philosopher of history” would wind up in business school, and the Wharton School no less, still escapes me. There I saw that it was not merely some inconsequential politician in a small and antique country (and his philosophical driver Mikhail) who did not know what was going on. After all, people in small countries are supposed to *not know* what is going on. What I saw was that in one of the most prestigious business schools in the world, in the most potent country in the history of the world, the executives of the most powerful corporations were coming to describe what they did for a living, and it was possible that they too did not know what was going on. As a matter of fact, in my mind it was far more than a possibility. I felt in my spine the weight of the epistemic arrogance of the human race.*

I became obsessive. At the time, I started becoming conscious of my subject—the *highly improbable consequential event*. And it was not only well-dressed, testosterone-charged corporate executives who were usually fooled by this concentrated luck, but persons of great learning. This awareness turned my Black Swan from a problem of lucky or unlucky people in business into a problem of knowledge and science. My idea is that not only are some scientific results useless in real life, because they underestimate the